

ETHICS, SOCIAL AND LEGAL RESPONSIBILITIES OF ENTREPRENEURS



LESSON 4

METALANGUAGE

1. **Policy.** “This is a set of ideas or a plan of what to do in particular situations that has been agreed to officially by a group of people, a business organization, a government, or a political party”.

Source:

<https://dictionary.cambridge.org/dictionary/english/policy>

2. **Law.** “Refers to the system of rules of a particular country, group, or area of activity”.

Source:
<https://dictionary.cambridge.org/dictionary/english/law?q=Law>

THE ETHICAL AND SOCIAL RESPONSIBILITIES OF ENTREPRENEURS

- **Ethics** originated from the Greek word "*ethos*" which means "character or customs or accepted behaviors."
- ***Ethics*** now refers to the established standard of what is right and wrong that prescribe a person of what he ought to do.
- This set of principles drive the person or organization in their various undertakings.
- When these ethical standards are used, a person or organization can thereby regulate their behaviors in order to clearly distinguish what is right and wrong in the lens of other people.



Other meanings of Ethics are the following as stated by O'Donnell (2014).

1. Ethics can be defined as the discipline dealing with moral duties and obligation, and explaining what is good or not good for others and for us.
2. Ethics is the study of moral decisions that are made by us in the course of performance of our duties.
3. Ethics is the study of characteristics of morals and it also deals with the moral choices that are made in relationship with others.
4. Ethics is concerned with truth and justice, concerning a variety of aspects like the expectations of society, fair competition, public relations, social responsibilities and corporate behavior.



BUSINESS ETHICS

- ***Business ethics*** as a form of applied ethics is concerned with the sense of ethics application in the moral and ethical norms of a business.
- Business ethics therefore means a "code of conduct" which includes the principles and expectations that should be followed by a member of a business organization.
- A person is considered full of integrity when he is able to carefully follow the code of conduct at all times.



BUSINESS ETHICS ISSUES

Misuse of company time and resources

- Time theft
- Using company software and Internet services for personal business

Abusive or intimidating behavior

- Physical threats and false accusations, profanity, and insults
- Wage theft
- Bullying

Lying Types

- Joking without malice, lying by commission, and lying by omission
- A lie may be unethical based on the context of the statement and its intent to distort the truth

Conflicts of interest:

- Exists when an individual must choose between his or her own interests and those of the organization or some other group

Bribery Types –

- Active bribery and passive bribery Legalities of solicitation payments differ from country to country

Corporate intelligence

- Collection and analysis of information regarding the external environment of a business
Types of intelligence models - Passive monitoring system for early warning, tactical field support, and support dedicated to top-management strategy



Social Responsibility

The social responsibility of a business organization is influenced by their business ethics.

- **Social responsibility** means the obligation of the business to the society in which the business is operating.
- The obligations include following the stated laws and policies and sometimes extend to generating employment for others in order to maximize the human capital of the area.



Social Responsibility

[sō-shal ri-spān(t)-sə-'bi-lə-tē]

The principle that, in addition to pursuing profit generation, corporations should strive to act in a way that positively affects society and the world.

Jerusalem, Palencia, & Palencia (2017) cited that the following are the responsibilities and accountabilities of entrepreneurs

Responsibilities and accountabilities to employees

1. Pay wages and taxes
2. Create and maintain a safe workplace
3. Facilitate workers' compensation insurance
4. Enforce anti-discrimination law
5. Create and maintain a favorable working environment
6. Respect human rights
7. Support career development
8. Train and educate employees
9. Manage performance
10. Give rewards and benefits



Jerusalem, Palencia, & Palencia (2017) cited that the following are the responsibilities and accountabilities of entrepreneurs

Responsibilities and accountabilities to the government

1. Observe laws, rules and regulations
2. Pay taxes
3. Follow environmental regulations
4. Abide by labor laws
5. Avoid restrictive trade practices
6. Disclose financial statements
7. Avoid corruption
8. Assist in implementing socio-economic policies
9. Help earn foreign exchange
10. Advise the government
11. Contribute to government treasury
12. Contribute to political stability



Jerusalem, Palencia, & Palencia (2017) cited that the following are the responsibilities and accountabilities of entrepreneurs

Responsibilities and accountabilities to creditors

1. Give correct information
2. Provide fair return of investment
3. Strengthen share prices

Responsibilities and accountabilities to the suppliers

1. Practice fair pricing and licensing
2. Avoid coercion and litigation
3. Maintain stability
4. Maintain confidentiality
5. Pay on time
6. Select suppliers with discernment



Jerusalem, Palencia, & Palencia (2017) cited that the following are the responsibilities and accountabilities of entrepreneurs

Responsibilities and accountabilities to consumers

1. Ensure quality of products and services
2. Ensure consumers' health and safety
3. Provide free training
4. Be fair with prices
5. Be honest in advertising and marketing
6. Be honest in dealings
7. Attend to complaints
8. Service even after sales
9. Respect customers' time
10. Treat customers well



Jerusalem, Palencia, & Palencia (2017) cited that the following are the responsibilities and accountabilities of entrepreneurs

Responsibilities and accountabilities to the general public

1. Be fiscally responsible
2. Consider public input
3. Take care of the community

Responsibilities and accountabilities to the environment

1. Comply with environmental legislation
2. Dispose waste properly
3. Recycle
4. Conserve and protect biodiversity
5. Prevent and remedy damages to environment
6. Report incidents related to damage or danger to the natural environment
7. Use scarce natural resources sparingly



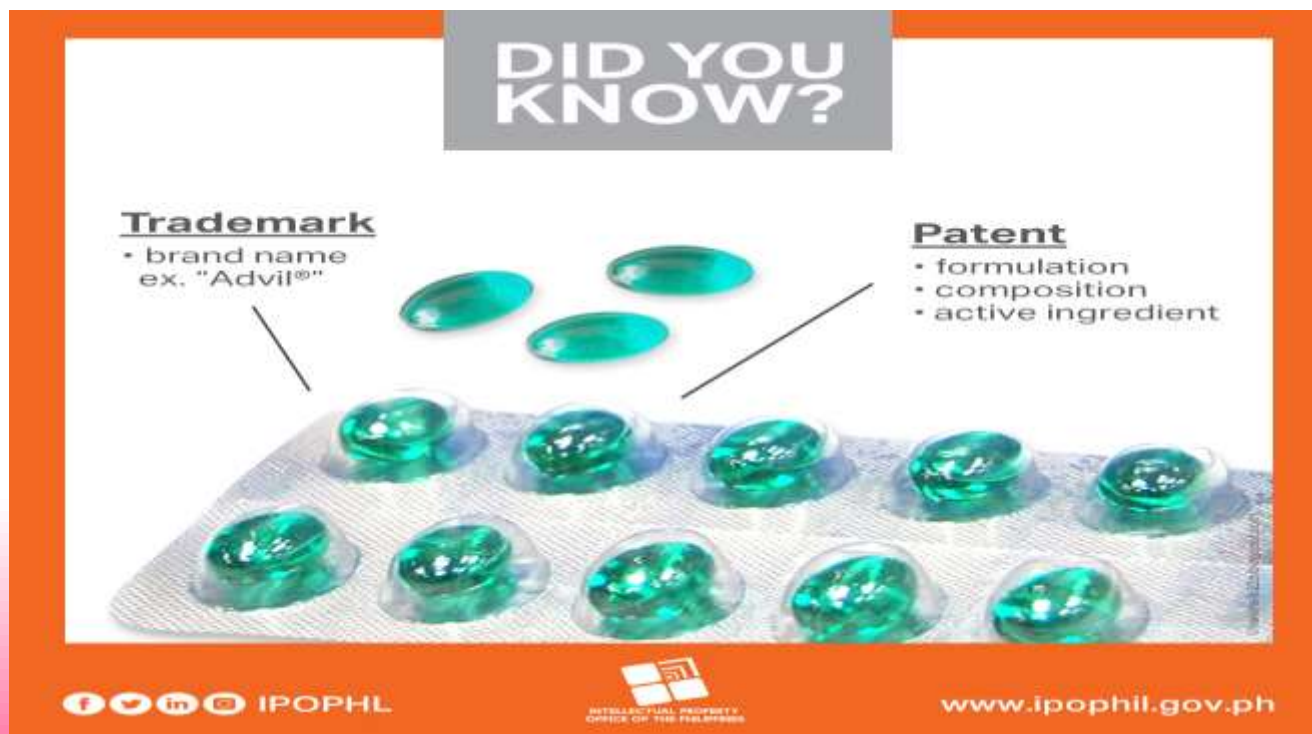
Legal issues in Entrepreneurship

Entrepreneurs often face the challenge of establishing their own structure. Entrepreneurs are expected to pursue innovation while considering the legal constraints and limitations. This offered pressure to new entrepreneurs as they need to learn the legalities and be constantly updated with new policies that concerns their business.

The following are the some of the most common legal issues in Entrepreneurship.

1. **Intellectual property (IP).** This “refers to creations of the mind: inventions; literary and artistic works; and symbols, names and images used in commerce” (WIPO, 2016).
 - This IP rights allow the creators and owners to be legally protected.
 - This IP is promoted in order to foster progress and well-being of humanity because the inventions of various people hugely aid in making our life better each day.

- The legal protection will ignited economic growth and generate more jobs. c. stable mindset d. none of the choices This protection usually lasts 20 years.
- A **trademark** “a distinctive sign that identifies certain goods or services produced or provided by an individual or a company” (WIPO, 2016).





Patents

- Best for inventors
- Protects new designs, products, machines, plants, and processes
- 15–20 years of protection



Copyrights

- Best for authors
- Protects music, art, architecture, literature, software, and choreography
- 70–170 years of protection



Trademarks

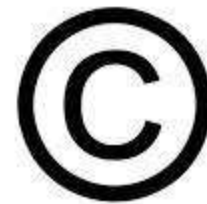
- Best for brands
- Protects phrases, words, designs, and symbols
- Indefinite protection

Legal issues in Entrepreneurship

The Two Categories of Intellectual Property

A. Industrial Property - the patents for various inventions, trademarks, industrial designs and geographical indications are included in this category.

B. Copyright - this "includes the literary works (such as novels, poems and plays), films, music, artistic works (e.g., drawings, paintings, photographs and sculptures) and architectural design. Rights related to copyright include those of performing artists in their performances, producers of phonograms in their recordings, and broadcasters in their radio and television programs" (WIPO, 2016).

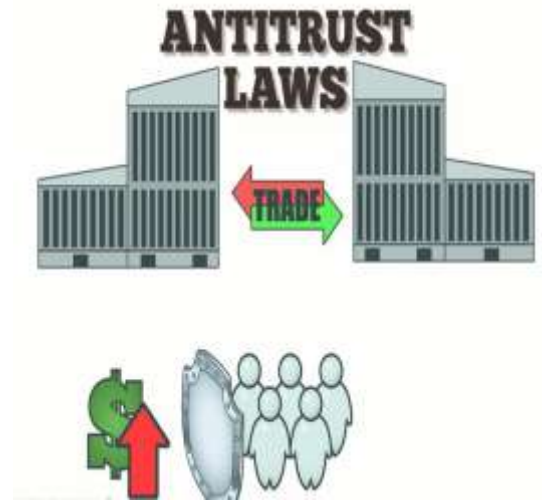


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Legal issues in Entrepreneurship

2. Antitrust. This competition law is limiting the business engagements of an entrepreneur. This is covered in our Philippine Competition Law (R.A. 10667). Examples covered in this law is the prohibition of lowering the prices in certain geographical area in order to push out a competitor.



Another popular example is the violation called **collusion**. This happens when three manufacturers agree to sell a product at a higher price when they could have offered it at a lower price. This law was established in order to discourage monopoly and encourage competition without using unfair tactics.



THANK YOU SO MUCH.....